IN THE NATIONAL COMPANY LAW TRIBUNAL,

ALLAHABAD BENCH

ALLAHABAD

CA (CAA) No.13/ALD/ 2021

(Under Section 230&232 of the Companies Act, 2013)

In the Matter of:

M/S SATABDI NINIMAY PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 having its Registered Office at 8th Floor Block-B, Vinayak Plaza, Maldahiya Crossing, Varanasi-221002, CIN U51100UP2004PTC041655

..... **Transferor Company**

WITH

M/S GANGA PULP AND PAPERS PRIVATE LIMITED, a company incorporated under the provisions of the Companies Act, 1956 having its registered office at 8th floor Block-B, Vinayak Plaza, maldahiya Crossing, Varanasi-221002, CIN U21011UP2000PTC025471.

..... **Transferee Company**

AND

their respective Shareholders and Creditors

ORDER DELIVERED ON: 09.08.2021

CORAM:

Hon'ble Mr. Justice (Retd.) Rajesh Dayal Khare, Member, Judicial

For the Applicant Companies: Sh. Jnana ranjan Dhal, Adv

Per se: Mr. Justice (Retd.) Rajesh Dayal Khare, Member (Judicial)

ORDER

1. This 1st motion Application under Sections 230 & 232 of the companies Act, 2013 (herein after referred to as the "Act") read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 (herein after referred to as "the Rules") is filed by the transferor and the transferee Companies seeking directions of this Tribunal to dispense with the requirement of convening meetings of Equity Shareholders, Secured Creditors and Unsecured Creditors of the Transferee and the Transferor Companies.



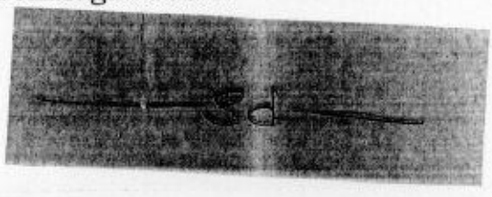
2. In the Application, it is stated that the Transferee Company i.e M/S Ganga Pulp and Papers Pvt. Ltd is a limited company registered under the provisions of the Companies Act, 1956 having CIN No. U21011UP2000PTC025471. The Authorized Share Capital of the Transferee Company is Rs.4,00,00,000/- divided into 40,00,000 Equity Shares of Rs.10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is 3,72,75,590/- divided into 37,27,559 Equity Shares of Rs.10 each.

   The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure-A and are placed at page nos. 27 to 47 in the Petition.***

3. In the Application, it is stated that the Transferor Company i.e SATABADI VINIMAY PRIVATE LIMITED is a private company registered under the provisions of the Companies Act, 1956 having CIN No. U51100UP2004PTC041655. The Authorized Share Capital of the Transferor Company is Rs.1,11,00,000/- divided into 11,10,000 Equity Shares of Rs.10 each. The Issued, Subscribed and Paid-up Share Capital of the Company is Rs.1,09,10,000/- divided into 10,91,000 Equity Shares of Rs.10 each.
   The Main Objects of the Company are set out in its Memorandum and Article of Association annexed with the Application and marked as ***Annexure-C and are placed at page nos. 92 to 110 in the Petition.***

4. The transferor Company i.e SATABADI VINIMAY PRIVATE LIMITED proposes to enter into an arrangement in the proposed scheme of amalgamation, whereby the transferor company is amalgamating with Transferee Company i.e M/S Ganga Pulp and Papers Pvt. Ltd.

5. The Board of Directors of both the transferee and the transferor Companies in the meetings held on 15.11.2019, considered and unanimously approved the proposed Scheme of Amalgamation.



6. The Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2020 .

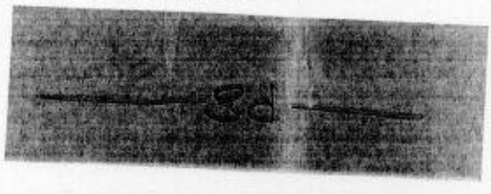
7. The Board of Directors and management of the Transferor Companies and the Transferee Company have proposed the Scheme of Amalgamation to merge the transferor companies (SATABADI VINIMAY PRIVATE LIMITED) and Transferee company (M/S Ganga Pulp and Papers Pvt. Ltd) for the following reasons:

a. *The Transferor Company and the Transferee Company belong to common group and common management. There are common shareholders and common directors in the Transferor Company and the Transferee Company. The Transferor Company is carrying on all or any of business as buyers, selles, suppliers, growers, processor, trader, merchannts, indenters, brokers, agents, exporter, importer, assemblers. In order to integrate the fields of activities of the company and for improving overall business efficiency, to streamline administration of the Companies and in the overall interest of future growth and diversification of the business of the Companies the present Scheme is proposed to amalgamate the Transferor Company with the Transferee Company. The scheme will be complimentary to the companies for their mutual benefit and interest.*

b. *The proposed Scheme will result in economies of scale, reduction in overheads and other expense, reduction in administrative and procedureal work, elimination of duplication of work, better and more productive and effective utilization of the combined resources of all the companies and will enable the amalgamated company to effect internal economies and optimize productivity.*

c. *The said Scheme will result in optimum growth and development of the business of the companies concerned and exploitation of the potential thereof. The said Scheme will enable the undertaking and business of both the companies to obtain greater facilities for raising capital, securing and conduction trade on favorable terms and other benefits.*

d. *The said Scheme will enable the companies concerned to rationalise and streamline their management, business and finances and will pave way for better, moe productive and economical control of the running of the operations.*



e. *The business of all the Companies will be carried on more economically and profitably under the Scheme.*

f. *The said Scheme will contribute in furthering and fulfilling the objects of the companies concerned and in the growth, expansion and development of their business.*

g. *The said Scheme will have beneficial results for the companies concerned, their shareholders, employees and all concerned. The Board of Directors of the Transferor Company and the Transferee Company have at their respective meetings by resolutions passed unanimously, aproved the said Scheme of Amalgamation. Copies of the said Board resolutions are annexed and collectively marked as* ***"F"*** *in the petition.*

8. It is stated that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013, or under the provisions of the Companies Act, 1956 is pending against the Applicant Companies.

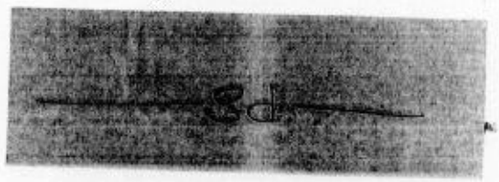
9. The appointed date of proposed scheme of amalgamation is **1st April, 2020.**

10. The learned Counsel for the Applicant Companies filed details of detailed below:

i) The Transferee Company has ***19 (Nineteen) Shareholders*** *and all have given their consents by way of deposing individual affidavits as well as by Board Resolutions.*

ii) The Transferee Company has 3 ***(Three) Secured Creditors*** *and all have given their consents by way of deposing individual affidavits.*

iii)The Transferee Company has ***10 (Ten) Un-secured Creditors*** *and all have given their consents by way of deposing individual affidavits as well as Board Resolution.*



iv)The Transferor Company has ***10 (Ten) Shareholders*** *and all have given their consents by way of deposing individual affidavits.*

v) Further, the transferor companies have no secured or unsecured creditors thus the holding of meeting of secured and unsecured creditors of the transferor companies be dispensed with.

11. The Applicants have stated that after amalgamation, the share exchange ratio will be as folllows :

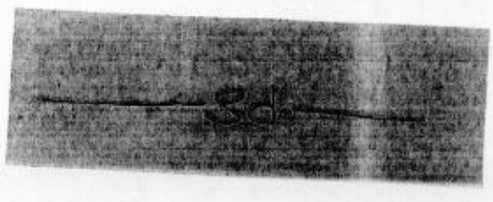
i) 10 Equity share of Rs.10/- each in Ganga Pulp And Papers Private Limited, credited as fully paid up, for every 8 equity shares of Rs.10/-fully paid up held in Satabdi Vinimay Private Limited.

12. The Applicants have stated that the accounting treatment proposed in the Scheme of Arrangement is inconformity with the accounting standards prescribed under Section 133 of the Companies Act, 2013. Certificates from the respective Statutory Auditors of the Applicant Companies have been filed along with the Application.

13. Learned Counsel appearing for the Applicants, made the following contentions with respect to the dispensation of the requirement of convening meetings:

A. All the Equity Shareholders of the Transferor Companies and the transferee company have given their written consents by way of individual affidavits along with the board Resolution. Therefore, the requirement of convening meeting of the Shareholders of the Transferor Companies and the Transferee Company may be dispensed with.

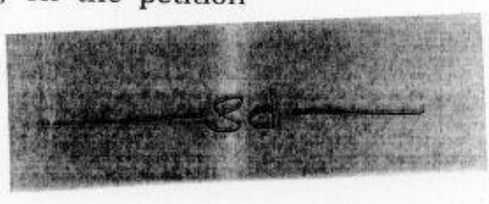
B. All the Secured Creditors of the Transferee Company have given their written consents by way of affidavits. Further, in case of the Transferor Companies, there is no Secured Creditor, therefore, the requirement of convening meeting of the Secured Creditors of the Transferor Companies and the Transferee Company may be dispensed with.



C. In case of the Transferee Company, Un-secured Creditors constituting more than 90% of the total value [which is more than the requisite statutory majority of 90% in value as per section 230(9) of the Companies Act, 2013], have given their written consents by way of affidavits. Further, in case of the Transferor Companies, there is no unsecured creditors, therefore, the requirement of convening meetings of the Un-secured Creditors of the Transferor Companies and the Transferee Company may be dispensed with.

14. Having heard the learned counsel for the applicants and by pursuing the material available on record it is felt appropriate to direct that, in view of the consent affidavits given by the Equity Shareholders of the Transferor Companies and the Transferee Company and consent affidavits given by the Secured and unsecured creditors of the Transferee Company, the requirement of convening meetings of the Equity Shareholders of the Transferor Companies and the Transferee Company and the requirement of convening the meeting of secured and unsecured creditors of the transferee company for the purpose of considering and if thought fit approving the proposed Scheme of Amalgamation, is dispensed with.

15. Let notices be served by the Applicant Companies, as per the requirement of sub-Section (5) of Section 230 of the Companies Act, 2013 and Rule 6 of Companies (CAA Rules 2016), along with copy of the application and other documents including copy of the scheme of Amalgamation to the Central Government through the office of Regional Director, Northern Region Ministry of Corporate Affairs, ROC Kanpur, Official Liquidator, Allahabad, and Income Tax Department stating PAN No. of the Applicant Company and having jurisdiction over the Transferor Companies and such other relevant sectoral regulators/authorities, if applicable, which are likely to be affected by the proposed Scheme, by sending the same by hand delivery or by registered post/speed post within 7 days from date of this order for filing their representations, if any, on the petition within 30 days from the date of receipt notice.



16. The Applicant's company shall file affidavit within seven days regarding service of notice.

17. The Applicant's company is further directed to send notice through e-mail and also file affidavit. The notice shall specify that representation if any should be filed before this Tribunal within 30 days of date of receipt of such notices.

18. Such notices shall be sent under Section 230 (5) of the Companies Act, 02013 in specified form (CAA.3) of the Companies (Compromises, Arrangements and Amalgamation) Rules, 2016.

19. If no such representation is received by the Tribunal within the said period, it shall be presumed that such authorities is having no representation/objection on the proposed Scheme of Amalgamation

20. With the above directions CA (CAA) No.13/ALD of 2021 is disposed of accordingly.



JUSTICE RAJESH DAYAL KHARE

MEMBER (J)

Date: 09.08.2021

Swati Gupta
(LRA)